

Price controls and subsidies

Governments sometimes restrict prices in key markets. Minimum wage laws place a floor on pay, while rent controls impose a ceiling on accommodation costs. Much of this is aimed at helping the poor, but by tinkering with demand-and supply-determined prices, controls have costs.

Suppose that a rent of £600 a month brings the supply of flats into line with demand: at £600 everyone demanding a flat can rent one. The government, however, then sets a rent ceiling of £500. Demand for flats rises and supply falls, so not everyone who wants a flat can get one. So flats have to be distributed by non-market means: perhaps those who are willing to wait the longest, or those with favourable personal connections obtain one. As time goes on, fewer new flats get built and the shortfall becomes even greater. The rent control helps those with flats, but shuts others out. Price floors have the opposite effect, leading to surpluses. Advocates of price controls argue that their social benefits outweigh these sorts of costs.

How rent ceilings create excess demand

